Orion Software Inc
Annual Report FY2022

Sector: Enterprise Software. All figures in US dollars. Fiscal year ends 31 March 2022. This is a synthetic document created for an educational capstone project.

Chairman's Letter to Shareholders

Dear shareholders, FY2022 was a year of disciplined execution for Orion Software Inc. Revenue for FY2022 was $860.0 million. Net income for FY2022 was $145.4 million and earnings per share were $1.45. The Board has recommended a dividend of $0.58 per share.

Our strategy for the coming year focuses on migrating licence customers to cloud subscriptions and launching an AI analytics add-on. We remain committed to transparent reporting, prudent capital allocation and sustainable long-term value creation.

Management Discussion and Analysis

Gross profit for FY2022 was $645.2 million, giving a gross margin of 75.0%. Operating expenses were $424.6 million and operating income was $220.6 million. EBITDA for FY2022 was $264.7 million.

Segment performance: Cloud Subscriptions contributed $387.3 million; Professional Services contributed $301.5 million; On-premise Licences contributed $171.2 million.

Liquidity and Capital Resources

Cash and cash equivalents at year end were $122.4 million. Net cash from operating activities was $187.0 million and capital expenditure was $57.0 million, resulting in free cash flow of $130.0 million. Total current assets were $278.0 million against total current liabilities of $135.1 million.

Total assets were $1,156.8 million, total liabilities were $578.2 million and shareholders' equity was $578.6 million.

Principal Risks and Uncertainties

• A cyber-security incident could damage customer trust and trigger penalties.

• Customer churn may rise if competitors bundle similar features for free.

• Talent shortages may increase engineering salary costs.

• Foreign-exchange movements affect reported revenue from overseas customers.

Outlook

For FY2023, management expects revenue growth of 14% to 22%, supported by migrating licence customers to cloud subscriptions and launching an AI analytics add-on. Guidance assumes stable macroeconomic conditions.

Consolidated Income Statement

Line item ($ million)	FY2022
Revenue	860.0
Cost of revenue	214.8
Gross profit	645.2
Operating expenses	424.6
Operating income (EBIT)	220.6
Depreciation & amortisation	44.1
EBITDA	264.7
Interest expense	26.7
Tax expense	48.5
Net income	145.4

Consolidated Balance Sheet

Line item ($ million)	FY2022
Cash and cash equivalents	122.4
Total current assets	278.0
Total assets	1,156.8
Total current liabilities	135.1
Long-term debt	416.2
Total liabilities	578.2
Shareholders' equity	578.6

Consolidated Cash Flow Statement

Line item ($ million)	FY2022
Net cash from operating activities	187.0
Capital expenditure	57.0
Free cash flow	130.0